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# How to transfer cryptocurrencies

Key factors for depositing and withdrawing assets.

Fidelity Viewpoints

## Key takeaways

> One of crypto's value-adds is the ability to transfer it to another wallet without a third-party intermediary.
>
> However, this also means that there is no customer service team to help if you make a mistake.
>
> Make sure you've entered the right amount, asset, address and blockchain network before you click "withdraw." Assets withdrawn to unsupported network addresses can't be recovered.

Whether you're paying for pizza or simply sending a gift, crypto users can send any amount of cryptocurrency to another crypto wallet without a credit card company, bank, or other third party intermediary.

Crypto enthusiasts believe this feature makes transactions cheaper and helps protect payments from potential censorship by centralized organizations. But how does it work? Let's take a look at how to transfer crypto.

## How to transfer bitcoin and other cryptocurrencies

Whether you're transferring crypto to someone else, or to another crypto wallet that you own, you'll likely be doing so through either a crypto exchange, traditional investment platform, or third-party crypto wallet software. Note that you can only send crypto if you own the actual cryptocurrency, meaning the content in this article does not apply to spot crypto ETPs or crypto ETFs.

In all cases, the process is relatively similar. On some exchanges and platforms, this is done through the "Withdraw" function. Others may also call it "Send."

However, be sure to double- and even triple-check each step before proceeding, as making a mistake could mean losing access to your assets forever. Specifically, pay close attention to the following:

- **Recipient address:** You'll need to enter the wallet address you're transferring crypto to. Wallet addresses are typically strings of letters and numbers that can be over 40 characters long. If the address is off by even one character, your assets may be sent to the wrong location, and there's a good cha[...] won't be able to recover them. Check that the recipient address is correct before clicking "Withdraw." Note: Some exchanges allow y[...]n a QR code, which helps simplify the process of entering an address.

- **Blockchain network:** If you're using a crypto exchange, you may be prompted to choose a network. Make sure to select the same network as the recipient's wallet. Failure to do so will likely result in losing access to your assets forever. Many exchanges allow you to generate new wallet addresses based on the network, so when in doubt, consider asking your recipient to create a new wallet.

For example, say you're withdrawing ethereum. If the receiving wallet is set to the Ethereum network, you must also select the Ethereum network when sending. If the 2 networks don't match, you may lose access to your crypto forever.

- **Amount:** Be certain you've entered the right amount to send. Unlike credit card payments, there is no central authority that can refund faulty transactions. If you're on the receiving end of the transaction, your primary task is to make sure the wallet address you've provided to the sender is accurate. This is typically done through the "Deposit" function, which allows you to either create a new wallet address or confirm an existing one.

One way to minimize risk is to first do a test deposit using the minimum deposit amount for the selected cryptocurrency. Withdraw the minimum deposit amount from your wallet. Confirm your withdrawal on the blockchain and make sure the recipient sees it in their account. Then proceed with the full withdrawal amount.

**Choose the right network on Fidelity Crypto®**

If you are receiving crypto to your Fidelity Crypto wallet from another wallet, both wallets must use the network that's available on the Fidelity Crypto platform. When transferring bitcoin, both wallets must use the Bitcoin network. When transferring ethereum, both wallets must use the Ethereum network. If the wrong network is selected, your access to the crypto being transferred may be lost forever.

## Do I need to pay a transaction fee when transferring cryptocurrency?

When transferring crypto via a blockchain, the receiving wallet does not incur any transaction fees, while the sender typically does. Transaction fees are built into the transfer process for bitcoin and other cryptocurrencies to pay miners and stakers for updating the blockchain.

Transaction fees are usually displayed by the platform you're using before you confirm and click "Withdraw." They can vary based on factors including how congested the blockchain network is (i.e., how many people are also trying to make a transaction at the same time) and which cryptocurrency network you're using.

Paying the network fee may involve selling some of your crypto, so note that transfers may have tax implications if you send crypto to someone else.

Note that some centralized exchanges and platforms now allow you to transfer crypto to other accounts on the same exchange or platform through an in-house transfer feature. This method does not involve a blockchain and typically does not incur any transaction fees for either the sender or receiver.

## How do bitcoin and other cryptocurrency transactions technically work?

First, recall that the amount of crypto each wallet owns is recorded and updated on the cryptocurrency's blockchain, which is like a giant, public spreadsheet that keeps track of everyone's accounts.

Now let's look at a hypothetical transaction. Suppose Jane wants to send 1 bitcoin to John. When Jane clicks "Withdraw," her digital wallet notifies the Bitcoin network she has sent John 1 bitcoin.

This information isn't immediately updated on the blockchain. Instead, it gets held in a waiting room until it's picked up by a bitcoin miner,* who shares it with other bitcoin miners to verify accuracy before adding it to the blockchain. Transactions on the Bitcoin network are typically processed in around 10 minutes. Other cryptocurrencies run on networks that can be much faster, with some averaging near-instant processing times.

One analogy for this process is sending physical mail. When you send someone a letter, it gets pooled along with other letters in a post office, where it then gets picked up and sent to its final destination. The blockchain process follows a similar flow.

## How long does it take to transfer bitcoin and other cryptocurrencies?

This varies depending on the cryptocurrency. Each cryptocurrency runs on its own network, and transaction speeds vary depending on how the network operates. As mentioned earlier, bitcoin transactions currently average roughly 10 minutes. Ethereum transactions average roughly 12 seconds as of early 2023, while other cryptocurrencies are often processed in speeds ranging from near-instantaneously to hours.

There are also innovations that can help speed up transaction times for slower cryptocurrencies. For example, the Lightning Network enables bitcoin transactions to be processed in under a minute, if not milliseconds. It does this by collecting transaction data on a separate database that periodically ports the data over to the Bitcoin network.

Note that it's possible for certain transactions to take as long as days to process if the network is particularly congested (i.e., too many people are trying to send coins at once).

Elsewhere, the in-house transfer feature mentioned earlier (which is currently only offered by some exchanges and platforms) can process transfers with little to no wait. Unlike other methods, this feature doesn't involve blockchains.

## What to consider when transferring bitcoin and other cryptocurrencies

Remember that crypto has no customer service team. If you send coins to the wrong address, enter the wrong amount, or select the wrong blockchain network, there is no way to reverse your transaction. This is true even if you're sending payments through a centralized exchange or platform.

In light of this, senders should make certain they've entered a) the correct wallet address, b) the correct amount, and c) the correct cryptocurrency asset, and d) the correct blockchain network before confirming the transaction. Assets withdrawn to unsupported network addresses can't be recovered. Receivers should make certain that they've provided the sender with the correct wallet address.

As mentioned above, one way to minimize risk is to first do a test deposit using the minimum deposit amount for the selected cryptocurrency. Withdraw the minimum deposit amount from your wallet. Confirm your withdrawal on the blockchain and make sure the recipient sees it in their account. Then proceed with the full withdrawal amount.

Keeping these factors in mind before transferring crypto may help reduce the chance of losing access to your coins forever.

In general, remember that crypto is highly volatile, and may be more susceptible to market manipulation than securities. Crypto holders don't benefit from the same regulatory protections applicable to registered securities, and the future regulatory environment for crypto is currently uncertain.

Crypto is also not insured by the Federal Deposit Insurance Corporation or the Securities Investor Protection Corporation, meaning you should only buy or send crypto with an amount you're willing to lose.




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*While proof of work networks like Bitcoin are run through miners, transactions on proof of stake networks like Ethereum are added to the blockchain by stakers.

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